NYSE: OXY — OCCIDENTAL PETROLEUM

Deep Dive: a $62 bet on where oil settles after the war

Built on Q2 2026 results (reported 5 Aug 2026) plus the Q3 2026 pre-earnings 8-K (13 Oct 2026). Full Q3 results land Mon 9 Nov after the close — refresh after that print.

~$61.70

2 Nov 2026, intraday (−3.6%)
last close $64.01 (30 Oct)
52-wk $38.80 — $67.45

The uncomfortable part first: at ~$62 OXY is not cheap. The share price already capitalises roughly **$69–73/bbl WTI as the long-run price** — about where the far end of the futures curve sits (~$69 for Dec-2028 in late August). Our probability-weighted value is **~$64 (+4%)**, against a bear case of **~$39 (−37%)** that is simply where the stock traded last December. Today's −6.5% WTI move on US–Iran talk headlines is a live preview of that bear path. Owning OXY here is an oil call, not a mispricing call.

SCORECARD VERDICT (V2, 8 CATEGORIES)

6.05 · Hold Positive

AT SPOT OIL · 5.45 AT $65 OIL

ex-valuation 6.17 · not a Trap Buy (score < 7.00)

PRICED-IN SIGNAL

~$69–73 WTI implied

ACCEPTABLE

No-growth coverage @$65 deck: 64% of price

INSIDER COLUMN

BUYING

3 OPEN-MARKET BUYS · 0 SALES

token size (≈$0.45M) · Berkshire flat since Feb-2025

The re-rating already happened: OXY went from pricing ~$62-65 oil at the December low to ~$69-73 today — which is roughly what the futures curve offers, so the margin of safety is gone.

DEC 2025 LOW (PRE-WAR)

$38.80

WTI ~$57 spot · equity priced ≈ $62–65 mid-cycle oil · director bought at $38.98

→

TODAY (WAR PREMIUM IN SPOT)

~$61.70

WTI ~$97 spot (−6.5% today) · equity prices ≈ $69–73 mid-cycle

→

WHAT THE CURVE SAYS

~$69 WTI

Dec-2028 WTI future (24 Aug read) · stock ≈ fairly priced against it

01 · SCENARIOS

Bear / Base / Bull — 12-month value per share

Annual DCF to 2030 + no-growth terminal at 10% cost of equity, after preferred claim and warrant dilution. Each case sets three things: the near-term oil path, the post-war "mid-cycle" WTI, and how much of management's >$4B cash-flow plan gets delivered. Probabilities `[Vermutung]`; mechanics and arithmetic `[Sicher]`; parameters `[Wahrscheinlich]`.

BEAR

p = 30%

$39

−37% vs ~$61.70

The Qatar-mediated talks stick. Hormuz flows normalise, SPR/IEA barrels and OPEC+ spare capacity hit a market that just lost its risk premium. It already happened once: after the 8 Apr ceasefire Brent fell from ~$118 to ~$70 by July and OXY dropped from ~$65 to ~$49 in Q2.

WTI Q4-26 / 2027	$80 / $64
Mid-cycle WTI (2028+)	$62
$4B plan delivered	30%
Tronox tax case	lost (−$2.4B)
FCF 2027 (pre-pref)	$4.6B

Watch for: signed US–Iran framework, tanker traffic through Hormuz back near pre-war, WTI backwardation collapsing.

BASE

p = 45%

$63

+2% vs ~$61.70

Talks drag, attacks fade but don't stop. Spot drifts down through 2027 as inventories rebuild, settling where the long-dated curve already sits. Management delivers about half of the 2030 cash-flow plan; debt hits $10B and cash builds for the 2029 preferred call.

WTI Q4-26 / 2027	$90 / $76
Mid-cycle WTI (2028+)	$70
$4B plan delivered	60%
Tronox tax case	50/50 (−$1.2B)
FCF 2027 (pre-pref)	$7.5B

Watch for: Q3 FCF ≥ ~$2.3B, Gulf back above 130 Mboed, 2027 capex at or below the $5.9B starting point.

BULL

p = 25%

$96

+56% vs ~$61.70

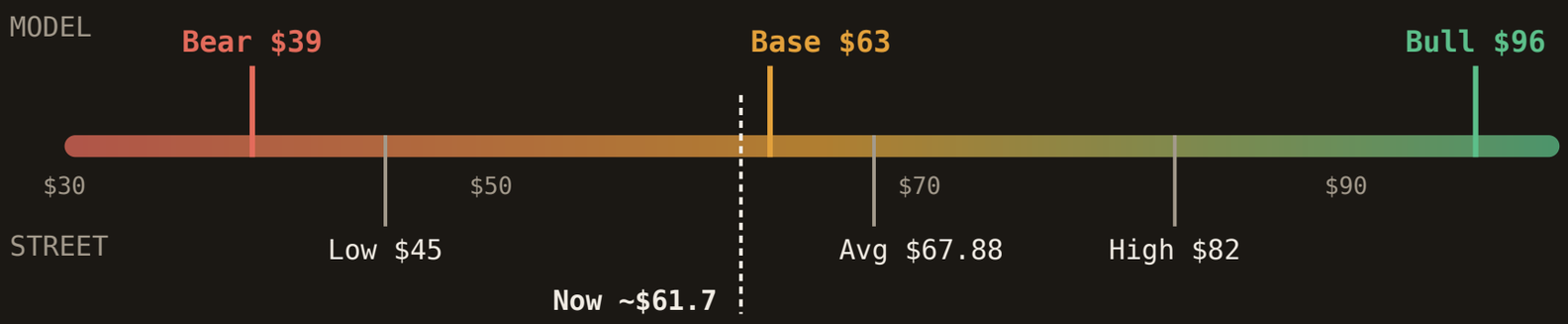
Talks fail after the 3 Nov midterms, shipping attacks resume, and the market concludes the damage (Ras Laffan, drained SPR) is structural. OXY's 2026 collar rolls off at year-end, so 2027 barrels are fully exposed to $95 oil, and the full plan lands.

WTI Q4-26 / 2027	$100 / $95
Mid-cycle WTI (2028+)	$82
$4B plan delivered	100%
Tronox tax case	won ($0)
FCF 2027 (pre-pref)	$11.9B

Watch for: Brent back above $110, renewed Gulf infrastructure strikes, Berkshire adding in the Q3/Q4 13F.

Probability-weighted value **$64.08** vs price **+3.8%** incl. $1.12 dividend **+5.7%**

Skew: −37% / +56%, but the downside is the more recent precedent.



Sensitivity: value per share vs. mid-cycle WTI and cost of equity

Base near-term path (Q4-26 $90, 2027 $76), 60% plan delivery, −$1.2B expected Tronox outcome. Green = >15% above ~$61.70, red = >15% below, amber = within ±15%. Boxed cell = base case.

MID-CYCLE WTI (2028+)	R = 9%	R = 10%	R = 11%
$60	$47.9	$42.9	$38.9
$65 (pre-war 2025 avg area)	$59.4	$53.2	$48.1
$70 (≈ long-dated strip)	$70.0	**$63.1**	$57.3
$75	$80.6	$72.6	$66.0
$80	$91.2	$82.1	$74.6
$85	$101.8	$91.5	$83.1

Rule of thumb from the grid [Sicher] (arithmetic of the model): every $5/bbl on the long-run oil assumption moves fair value by ~$10/share (~16%). The $4B-plan assumption is worth less: 0% vs 100% delivery shifts the implied oil price by only ~$6.6/bbl.

02 · INSIDER BUYS

Who has put their own money in — and at what price

Open-market Form 4 transactions plus Berkshire Hathaway (≈26.7% holder). Awards, tax withholdings and gifts listed separately because they carry no signal.

BUYING

Every open-market insider trade since late 2024 has been a purchase, and there are **zero open-market sales** in the filings we found [Wahrscheinlich] (180-day Form 4 record plus 2025 searches). The catch: the individual buys are token-sized — CEO and director together ≈ $0.45M against an insider stake of ~0.5% — and the one buyer with real size, Berkshire, **did not add at the $38.80 low**. It took OxyChem for $9.47B instead (agreed Oct 2025, closed 2 Jan 2026) and has held 264.9M OXY shares flat for five quarters through the Q2 13F.

DATE	WHO	TYPE	SHARES	PRICE	VALUE	VS ~$61.70
23 Jun 2026	Richard A. Jackson · CEO (since 1 Jun)	Buy	4,770	$52.38	$0.25M	+18%
16 Dec 2025	William R. Klesse · Director	Buy	5,000	$38.98	$0.19M	+58%
Feb 2025	Berkshire Hathaway · 10% owner	Buy	763,017	$46.82	$35.7M	+32%
Dec 2024	Berkshire Hathaway · 10% owner	Buy	~8.9M	~$45.99	~$409M	+34%
30 Sep 2026	R. A. Jackson · CEO	Tax withholding	4,124	$55.32	—	no signal
25 Sep 2026	Vicki Hollub · Director (ex-CEO)	Gift to family trusts	90,000	—	—	not a sale

Read-through for the series' insider column: OXY joins TTD, NKE, ZTS and BSX as BUYING — but unlike TTD (~$148M CEO buy) the dollar size here is symbolic. The more informative datapoint will be Berkshire's Q3 13F (~14 Nov): any change after five flat quarters, under Abel, would matter more than all individual Form 4s combined. Warrant exercises (12.5M in H1 2026, $276M proceeds) are not insider buys — they convert a $22 option and add shares.

03 · LATEST QUARTER

Q2 2026: record cash, but the driver was price, not barrels

USD millions except per-share and per-unit figures. Q2 2026 vs Q2 2025 (continuing operations; OxyChem sold 2 Jan 2026).

METRIC	Q2 2025	Q2 2026	YOY Δ
Net sales	5,258	8,065	+53.4%
Net income to common	288	2,807	+875%
Adjusted diluted EPS	$0.26	$2.40	+823%
Op. cash flow before working capital	2,408	4,610	+91.4%
Capex (net of NCI)	1,654	1,589	−3.9%
Free cash flow before WC	754	3,021	+301%
Production (Mboed)	1,400	1,433	+2.4%
Realized oil ($/bbl)	$63.76	$96.78	+51.8%
Domestic gas realized ($/Mcf)	$1.33	−$1.48	negative
Total debt (carrying value)	23,776	13,743	−42.2%
Dividend per share (quarterly)	$0.24	$0.26 → $0.28	+8.3%

Q2 beat: adj. EPS $2.40 vs ~$1.92 consensus; revenue $8.33B vs ~$7.18B. One-offs (midstream asset sales, derivative gains, early debt retirement) added ~$368M after tax. Midstream & marketing earned a record $1.3B pre-tax on war-widened spreads — management already guided Q3 midstream lower.

Q3 2026 pre-release (8-K, 13 Oct) — what is already known

- Realized oil **$85.91** (WTI avg $85.79, Brent $91.62) — ~$11 below Q2.
- Gulf of America cut to **~110 Mboed** (Q2: 144) — third-party gas pipeline constraint plus maintenance; partially restored.
- Collar settlements: −$94M to operating cash flow (Q2: −$156M).
- Domestic gas only 54% of NYMEX ($1.69/Mcf); LOE $8.54/boe vs $8.10 guide.
- Diluted shares 1,012.8M — warrant dilution keeps creeping.

What that implies for 9 Nov

- Model FCF for Q3 ≈ **$2.3B** `[Wahrscheinlich]` — strong, but ~25% below Q2's $3.0B.
- Street EPS ≈ $1.45 (MarketBeat) — a lower bar than Q2, so a "beat" is plausible on midstream.
- Key tells: Gulf restoration timing, any 2027 hedging (2026 collar expires), progress to the $10B debt target, Stratos start-up date.
- Risk: the print is backward-looking; the stock will trade on the US–Iran tape that week.

Production by region + midstream

Q2 2026, net Mboed, YoY change

PERMIAN	ROCKIES & OTHER	GULF OF AMERICA	INTERNATIONAL	MIDSTREAM & MKTG
804	280	144	205	$1.3B
+4.4% · 56% of output	+2.9%	+15.2% · ~110 in Q3	−12.0% · Oman/UAE/Algeria	pre-tax record · FY guide +$300M

04 · CLAIMS AHEAD OF THE COMMON

The balance sheet got fixed — the capital structure didn't

Principal debt was cut by $8.6B in six months (OxyChem proceeds + windfall cash). But a common shareholder still stands behind an 8% preferred, a warrant overhang and two large contingencies.

PRINCIPAL DEBT	BERKSHIRE PREFERRED	WARRANTS	CONTINGENCIES
$11.8B	$8.5B	101.8M	$2.4B + $1.9B
from $20.4B at YE-25 · target $10B · interest run-rate ~$760M	8% ($680M/yr) · callable Aug-2029 at 105% ($8.9B) · blocks big buybacks until then	17.9M @ $22 + 83.9M Berkshire @ $59.59 (now in the money) = +10.2% shares	Anadarko/Tronox tax deduction dispute · environmental accrual $1.85B (+ up to $1.9B possible)

05 · VALUATION BLOCK

Cheap on spot earnings, fair on mid-cycle cash

At ~$61.70 unless noted. Multiples on trailing/spot figures flatter OXY because they embed $86–97 oil and a $3.1B OxyChem disposal gain.

MARKET CAP	NET DEBT	EV INCL. PREFERRED	EV / EBITDA (NTM)
$61.7B	$7.7B	~$78.8B	~5.1x
basic 999.6M sh · $62.6B diluted	$11.8B principal − $4.15B cash (Q2)	diluted cap + net debt + $8.5B pref	TIKR, Sep (at $58.84) · peers 4.8–7.4x
P/E TRAILING · FORWARD	**FCF YIELD TO COMMON**	**SHAREHOLDER YIELD**	**52-WEEK POSITION**
9.6x · 9.1x	13.6%	~1.8%	80%
trailing inflated by Q1 disposal gain	Q3 run-rate · 18.2% at Q2 · 6.6% at $65 WTI	$1.12 dividend · buybacks ~$60M/qtr, offset by warrant issuance	$38.80 – $67.45
CONSENSUS TARGET	**RATINGS**	**RECENT REVISIONS**	**IMPLIED WTI (OUR MODEL)**
$67.88	12 Buy · 15 Hold	↑ mostly	$69–73
+10% · range $45–82 · 27 analysts	0 Sell · consensus "Hold"	GS $69→$76 (27 Oct) · WFC $82 · Evercore $70 · Seaport $73 (init)	60% vs 0% plan credit, r = 10% · $66–76 across r 9–11%

06 · THE DEBATE

What each side gets right

The bull case is mostly about the company; the bear case is mostly about the price you pay and the commodity.

Why bulls own it

- **Deleveraging done fast:** $20.4B → $11.8B principal in six months; interest falls ~$630M/yr vs 2025.
- **Cash machine at war prices:** Q2 FCF $3.0B, best since Q3 2022; production beat the top of guidance and FY guide was raised to 1,423–1,453 Mboed.
- **Self-help that doesn't need oil:** >$4B annual cash-flow uplift targeted by 2030, ~85% claimed achievable at lower prices; base decline 25% → ~20%; CO_2 pilots +45% EUR in the Permian.
- **Unhedged from 2027:** the only collar (100 kb/d, $55 × $75.89) expires at year-end — full torque if the risk premium sticks.
- **Aligned owners:** Berkshire at 26.7% plus preferred plus warrants; CEO bought weeks into the job.

Why bears won't

- **No margin of safety:** the price already discounts ~$69–73 long-run WTI — the curve, not a discount to it.
- **Headline beta:** −3.6% today on peace-talk reports; Q2 showed what a ceasefire does (OXY ~$65 → ~$49).
- **Capital-return ceiling:** big buybacks wait until the $8.9B preferred call in Aug 2029 — the windfall goes to creditors and Berkshire first.
- **Contingent claims:** $2.4B Tronox tax exposure plus up to $1.9B of environmental cost beyond the $1.85B already accrued — ~$4/share if both crystallise.
- **Execution history:** Stratos DAC was due in late 2024 and is still only targeted for start-up by end-2026; Gulf output just lost ~34 Mboed to a third-party pipeline.
- **Dilution:** 101.8M warrants (+10%) — Berkshire's tranche moves into the money above $59.59.

07 · CATALYST CALENDAR

Dates that can move the scenarios

Filled dots = next 30 days.

3 Nov 2026
US midterm elections — analysts flag escalation risk could return after the vote.

9 Nov 2026 (after close) · call 10 Nov
Q3 results: FCF vs ~$2.3B model, Gulf restoration, 2027 hedging, debt vs $10B target, Stratos timing.

~14 Nov 2026
Berkshire Q3 13F — first look at whether the Abel-era Berkshire changed the 264.9M-share position.

Dec 2026
OPEC+ (targets unchanged through December) · ex-dividend 10 Dec ($0.28, paid 15 Jan).

Year-end 2026
Oil collar expires · Stratos DAC phase 1 targeted start-up · three Permian rigs dropped in Q4.

2027
Capex starting point $5.9B; management targets $0.7–0.8B more FCF vs 2026 at flat prices; public $22 warrants expire Aug 2027 `[Wahrscheinlich]`.

Aug 2029
Preferred redemption at 105% (~$8.9B) — after which buybacks become the main return lever.

Open
Anadarko/Tronox tax dispute — ~$2.4B (tax + interest) if the deduction is disallowed; timing not disclosed.

08 · SCORECARD

Series scorecard (v2, eight weighted categories)

Scored at current realised prices. Because OXY's profitability and cash scores are oil-dependent, a second line re-scores those two at a $65 deck.



FINAL SCORE
6.05
HOLD POSITIVE

EX-VALUATION*
6.17
fundamentals slightly ahead of price

AT A $65 OIL DECK
5.45
HOLD NEGATIVE (profitability 5.5, cash 6.0)

SELL <3.5 | HOLD− 3.5–5.5 | HOLD+ 5.5–7.0 | BUY 7.0–8.5 | STRONG BUY

*Ex-valuation = Valuation and Priced-in removed, remaining weights re-scaled. Trap Buy check: not applicable (score < 7.00). Reverse-DCF in growth terms stays N/A for commodity producers (as with AR and DVN); the implied-oil price above replaces it.

09 · MODEL & ASSUMPTIONS

How the numbers were built

- [Wahrscheinlich] FCF (before working capital, before preferred dividends) of **$4.8B at $65 WTI** for the 2027 run-rate: FY2025 continuing-ops FCF ~$3.2–3.3B at ~$65 oil plus management's >$1.2B 2026 improvement at flat prices.
- [Wahrscheinlich] Oil sensitivity **$0.23B FCF per $1/bbl WTI per year** (≈705 kb/d oil, after cash tax, NGL co-movement). Check: model gives $3.03B for Q2-26 vs $3.02B reported; $1.48B for Q1-26 vs $1.75B reported.
- [Wahrscheinlich] Plan uplift at full delivery: $5.0B (2027) → $6.4B (2030) at $65, i.e. the >$4B pre-tax target taxed at ~22%; scenarios credit 30% / 60% / 100%.
- [Sicher] Preferred valued as a claim of ~$8.5B (8% coupons to Aug-2029 + 105% call, discounted at 10%); warrants by treasury method (1,014M diluted shares at ~$61.70).
- [Wahrscheinlich] 10% cost of equity — cross-checked: at the Dec-2025 low ($38.80) the same model implies ~$62–65 mid-cycle oil, roughly the pre-war consensus.
- [Vermutung] Scenario probabilities and the 50/50 Tronox outcome. Price ~$61.70 is an estimate from the 30 Oct close and the −3.6% intraday move at 11:02 ET on 2 Nov.
- Not modelled: WES stake value beyond its cash distributions, Stratos/45Q economics, a production-growth case (~2% CAGR) management also outlines.

Sources: Occidental Q2 2026 earnings release & 10-Q (5 Aug 2026); Q3 2026 pre-earnings 8-K (13 Oct 2026); Occidental CEO-succession release (May 2026); Form 4s via StockTitan/blarkad/InsiderTrades; Berkshire Hathaway Q2 2026 10-Q and 13F; MarketBeat (price, consensus, 30 Oct); TIKR (Sep 2026); Nasdaq/Zacks Q2 call recap (7 Aug 2026); Trading Economics, Rallies.ai and StockTitan live blog (oil, 2 Nov 2026); CMB futures-curve note (24 Aug 2026); Wikipedia "2026 Iran war fuel crisis".

Not financial advice